

Workers' Comp: Keep Paying the 5%, or Get Your Own Policy?

A simple step-by-step guide prepared for **Shaw Stonework**

What is happening right now

The contractors you work for keep **5 cents of every dollar** they owe you (\$5.00 per \$100) to pay for workers' compensation insurance — the coverage that pays your medical bills and part of your lost wages if you get hurt on the job. **The question:** would it cost less to buy your own policy? Three easy steps tell you.

STEP 1 — Add up what they took out of your pay last year

Gather your pay records from last year — check stubs, settlement sheets, or your 1099 forms. Add up your **total pay before the 5% came out** (that total is called your "gross pay").

Can't find your records? Call each contractor's office and ask: *"How much did you pay me last year, and how much did you hold out for workers' comp?"* They keep those records.

Example: If they paid you \$80,000 last year → $\$80,000 \times 0.05 = \$4,000$. That is what you paid for workers' comp last year.

My total pay last year (before the 5%): \$ _____

$\times 0.05 =$ what I paid them for workers' comp: \$ _____ (A)

STEP 2 — Figure what your own policy would cost

We already checked on this for you. A policy of your own for stonework runs about **\$8.61 per \$100 of payroll**. So take your yearly payroll and multiply by 0.0861.

Example: \$80,000 of payroll → $\$80,000 \times 0.0861 =$ about **\$6,888** per year for your own policy.

My yearly payroll: \$ _____

$\times 0.0861 =$ my own policy would cost about: \$ _____ (B)

STEP 3 — Compare the two numbers

Staying with them	\$5.00 per \$100 — taken out of every check
Your own policy	about \$8.61 per \$100 of payroll

The honest answer: dollar for dollar, their \$5.00 rate is cheaper than your own \$8.61. On the same pay, **staying with the 5% costs less** — but the things below can change that.

Things that can change the answer

- 1. Materials money.** The 5% comes out of **every dollar** they pay you — even money that really pays for stone, sand, and supplies. Your own policy is priced on **payroll only** — so if materials are a big part of your checks, your own policy may cost less than it looks.
- 2. Work for anyone else?** Their coverage only protects you on their jobs. Your own policy covers you on **every** job, for anybody.
- 3. Hiring helpers?** In North Carolina, a business with three or more employees generally must carry its own workers' comp — the 5% deal does not take care of that.
- 4. If you get your own policy,** we give each contractor a "Certificate of Insurance" — proof you are covered — so they stop taking the 5%. Confirm with them first that they will.

What about liability insurance?

They are **two different things**. **Workers' comp** takes care of **you** if you get hurt working. **Liability** takes care of **other people** — damage to someone's property, or someone else getting hurt because of your work. The 5% they take out gives you **no liability coverage at all**. Most contractors expect you to carry your own liability policy too — the same certificate can show both, and we will check yours when you call.

Bottom line: On rate alone, the 5% deal wins. But add up your real numbers from last year and bring them to us — we will run the exact comparison and check your liability too. About 15 minutes, and it costs nothing.

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